

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD., *Respondent*.

DOCKET NO. 24-16

Served: April 11, 2025

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER ON MOTION TO DISMISS¹

I. Introduction and Procedural Background

Complainant Samsung Electronics America, Inc. (“SEA” or “Complainant”) initiated this proceeding by filing a complaint against Respondent COSCO Shipping Lines Co., Ltd. (“COSCO” or “Respondent”), alleging Respondent violated 46 U.S.C. §§ 41102(c); 41104(a)(3); 41102(d); and 41104(a)(10), (14), (15). In response to the complaint, COSCO filed a Motion to Dismiss (“MTD”). Following a short extension of time, SEA filed an opposition to the motion to dismiss (“Opposition”), and COSCO then filed a reply (“Reply”).

For the reasons set forth below, COSCO’s motion to dismiss is **GRANTED IN PART** and **DENIED IN PART**.

II. Motion to Dismiss

A. Arguments of the Parties

COSCO asserts that the complaint should be dismissed because the Federal Maritime Commission (“FMC”) lacks jurisdiction over breach of contract claims, and the allegations only amount to breach of contract. It further argues that all claims alleged by SEA fail to state a claim on which relief can be granted, including: failure to allege a practice; failure to allege an essential element of retaliation; failure to properly allege a refusal to bargain; failure to use COSCO’s published procedure for resolving disputes; and attempting to apply the Ocean Shipping Reform Act of 2022 (“OSRA 2022”) retroactively to charges assessed prior to June 16, 2022. Finally, COSCO asserts that SEA is not entitled to reparations for allegedly incomplete invoices. MTD at 1-3.

¹ This order will become the order of the Commission in the absence of review by the Commission. Any party may file exceptions to this order within twenty-two days of the date of service. 46 C.F.R. § 502.227.

SEA contends that it sufficiently alleges the elements of Shipping Act violations and the FMC has jurisdiction over the claims; it was not a party to any service contracts with COSCO so 46 U.S.C. § 40502(f) is inapplicable; it has alleged a practice based on thousands of assessed demurrage or detention charges; there is no pleading requirement that SEA must allege multiple customers were subject to the same practice, and in any event, SEA has done so; it engaged in protected activity by issuing a demand letter that resulted in retaliation; it sufficiently alleges that COSCO unreasonably refused to deal or negotiate; it alleges unreasonable detention and demurrage charges invoiced after the effective date of OSRA 2022; it has identified and alleged unreasonable detention and demurrage practices, including COSCO's procedure to dispute charges; and it is not at this stage required to list each shipment for which it seeks reparations, particularly where, as here, there are thousands and the alleged harm is ongoing. Opposition at 6-25.

B. Motion to Dismiss Standard

Although the Commission's Rules do not explicitly provide for motions to dismiss, Commission Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The "Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *MAVL Capital v. Marine Transport Logistics*, Docket No. 16-16, 2020 WL 1312925 at *5 (FMC Oct. 29, 2020). Here, Respondent asserts both as a basis for dismissal.

Under Federal Rule of Civil Procedure 12(b)(1) a party may move to dismiss a Complaint for lack of subject matter jurisdiction. Proper jurisdiction "is fundamental and necessary" for the Commission to adjudicate a Complaint brought before it. *Arena v. Graybar Electric Co. Inc.*, 669 F.3d 214, 223 (5th Cir. 2012); *see also Earlean Edward Dukart v. Ocean Star Int'l Inc.*, FMC Docket No. 20-03, 2020 WL 13512914 at *8 (ALJ July 10, 2020). A person asserting subject-matter jurisdiction bears the burden of proving by a preponderance of the evidence that it exists. *See Earlean Edward Dukart*, 2020 WL 13512914 at *8 (citing *Garanti Finansal Kiralama A.S. v. Aqua Marine & Trading, Inc.*, 697 F.3d 59, 65 (2d Cir. 2012)).

Under FRCP 12(b)(1) there are two types of jurisdictional attacks: a factual attack, which considers material extrinsic from the pleadings, such as affidavits or testimony, to determine whether subject matter jurisdiction exists; or a facial attack, which "requires the court merely to look and see if the [complainant] has sufficiently alleged a basis of subject matter jurisdiction, and the allegations in his complaint are taken as true for the purposes of the motion." *Stalley ex rel. U.S. v. Orlando Regional Healthcare System, Inc.* 524 F.3d 1229, 122-1233 (11th Cir. 2008), quoting *McElmurray v. Consol. Gov't of Augusta-Richmond County*, 501 F.3d 1244, 1250 (11th Cir. 2007). Here, Respondent asserts a facial attack, and the *Twombly-Iqbal* plausibility standard applies. *Pena v. Ortiz*, 521 F. Supp. 3d 747, 750 (N.D. Ill. 2021); *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007); *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009).

Respondent also argues that Complainant fails to state a claim under Rule 12(b)(6), which "challenges the sufficiency of the complaint, not its merits." *Pena v. Ortiz*, *supra*, at 750.

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009). The complaint must be sufficient to “give the defendant fair notice of what the...claim is and the ground upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur Miller, *Federal Practice & Procedure Civ.* § 1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable a defendant to respond.”).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Docket No. 09-01, 32 S.R.R. 126, 136, 2011 WL 7144008 at *12, (FMC Aug. 1, 2011).

“A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 WL 441676 at *2 (M.D. Tenn. 2014).

III. Discussion

A. Count I Violations of 46 U.S.C. § 41102(c) Unjust and Unreasonable Practices in Handling Property

COSCO asserts that Count I of the Complaint at most alleges a breach of contract over which the Commission does not have jurisdiction and moves to dismiss under Federal Rule of Civil Procedure 12(b)(1). MTD at 5-14. It further contends that the bills of lading claims that SEA raises are “maritime contracts [that] fall within the exclusive jurisdiction of the federal courts.” Respondent’s Reply to Complainant’s Opposition to Respondent’s Motion to Dismiss the Complaint (“Reply”) at 2-4. SEA asserts as a preliminary matter that it is not a party to a service contract with COSCO, it is not asserting a breach of any applicable service contract, and the cases cited by COSCO concern allegations of contractual breaches. Opposition at 6-10. SEA further counters that it is “a consignee on bills of lading and receives invoices for charges assessed in the U.S.” Opposition at 6. SEA further asserts that “the Complaint clearly lays out that SEA is claiming violations of the Shipping Act by COSCO, which include its unjust and unreasonable practice of assessing demurrage and detention charges on a consignee....” Opposition at 6.

COSCO argues that bills of lading, such as those referenced in the Complaint, necessarily require interpretation, and that is “within the exclusive jurisdiction of federal courts sitting in admiralty.” Reply at 2. In this regard, COSCO cites to multiple breach of contract cases and

asserts that these establish that Count I of the Complaint raises only breach of contract claims. See MTD at 7-9.

COSCO relies on the Commission's denial of a petition for rulemaking in *Definition of "Package" Under the Carriage of Goods by Sea Act*, 23 S.R.R. 111, 114 (FMC 1985), but takes this petition for rulemaking on the definition of package under COGSA out of context. MTD at 9. There, in denying the petition to create a rule under COGSA regarding definition of a package in bills of lading, the Commission stated that "COGSA is not a statute which has been delegated to the Commission for its administration." *Id.* at 113. Declining jurisdiction to promulgate a rule under COGSA is not applicable here.

The motion to dismiss at issue in *Hapag-Lloyd Aktiengesellschaft v. Levy i/a/t/a Aleph Industries, Inc. a/k/a Aleph Tire Road Service*, 2021 WL 5630299 (D.N.J. 2021), is also not applicable. That case also arose under COGSA, while Aleph's goods were in transit, and it learned that India would not accept the shipment. *Id.* At *1. "Aleph [Industries] instructed Hapag-Lloyd to change the final destination of these shipments from India to Pakistan," but they were not redirected and were "off-loaded in India and held in storage." *Id.* Hapag-Lloyd filed a breach of contract claim alleging Aleph failed to pay for shipping services, and Aleph filed a counterclaim that Hapag-Lloyd argued was not filed within the COGSA statute of limitations. *Id.* at *2. Aleph, in addition to other arguments, contended that COGSA did not apply, and both COGSA's and the bills of lading one-year statute of limitations did not apply because both "only cover claims for lost or damaged goods." *Id.* at *3. The court cited *Norfolk N. Ry. Co. v. Kirby*, 543 U.S. 14, 29 (2004), for the premise that "COGSA governs bills of lading for the carriage of goods from the time when the goods are loaded on to the time when they are discharged from the ship" in determining that COGSA applied. *Id.* at *4.

In *Norfolk v. Kirby*, the railroad with which the intermediary contracted for the inland portion of the transportation suffered a train derailment, resulting in alleged damages of over a million dollars. 543 U.S. 14, 21. In discussing the liability issue, the Supreme Court stated that bills of lading "are maritime contracts because their primary objective is to accomplish the transportation of goods by sea from Australia to the United States' eastern coast." *Id.* at 24. The Court found that the bills' limitation of liability clauses extended to the railroad for the inland portion of the transportation of goods, limiting the damages caused by the derailment. *Id.* at 36.

Respondent argues that these COGSA cases establish that bills of lading are maritime contracts and only "federal courts sitting in admiralty" have jurisdiction "over the meaning of bills of lading and service contracts, the application of their terms to the parties' conduct, and alleged breaches...." MTD at 8. Condensed down, COSCO's argument is that when bills of lading or service contracts are invoked, the claims are only cognizable as breaches of contract to be heard by a federal court. However, the Commission's subject-matter jurisdiction is not based on whether bills of lading (or service contracts) are the basis of the parties' shipping relationship. Moreover, while breach of contract claims can arise in conjunction with Shipping Act claims and can be brought in district court or before an arbitrator, claims of Shipping Act violations must be brought before the Commission. *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961 at *15 (FMC Oct. 31, 2000); *MCS Industries, Inc. v. Mediterranean Shipping Co. S.A.*, Docket No. 21-05, 2024 WL 95383 at *7 (FMC Jan. 3,

2024); *Anchor Shipping Co, v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808 at *10-11 (FMC May 10, 2006).

In Count I of the Complaint, SEA contends that COSCO moved SEA's goods pursuant to bills of lading and in doing so, committed violations of Section 41102(c) of the Shipping Act. Complaint at 20, ¶ 80. COSCO's argument that the Commission is precluded from considering allegations of Shipping Act violations because the relationship between the regulated entity (COSCO) and the consignee (SEA) arises from a bill of lading, which they urge requires interpretation of the bill of lading by a federal court, is not supported by any case authority and runs contrary to key precedents. *See, e.g., Investigation of Tariff Filing Practices*, 7 F.M.C. 305, 321 (FMC, Aug 2, 1962) ("All cargo carried for compensation moves on some form of transportation agreement, express or implied."); *MCS Industries, Inc. v. Mediterranean Shipping Co.*, supra at *7 ("the FMC in fact has an obligation to address Shipping Act claims . . . even if . . . a service contract requires contract claims to be arbitrated."); *Cargo One*, supra at *14 ("However, we find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action.").

COSCO urges that the language used in the Complaint establishes that it is merely a breach of contract case. MTD at 13. This argument has been made by COSCO before, and it remains unpersuasive in the case *sub judice*. As the Commission stated in *Cargo One*:

In the instant Complaint, Complainant unfortunately included phrases such as 'contrary to the agreement under the service contract' for each of the counts. COSCO has seize on that language to charge that Cargo One is simply attempting to use the Commission's processes improperly to enforce its service contract, and that section 8(c) as interpreted by Vinmar precludes such an action. We believe that while it is important to place on the complainant the burden of invoking the proper authorities and proving one's case, the issue of jurisdiction should not necessarily hinge on superfluous language inserted in a complaint.

Cargo One, supra at * 13. While SEA may also have contract claims it could pursue in court, the Complaint alleges plausible Shipping Act claims that are properly brought before the Commission, and subject-matter jurisdiction is established.

COSCO next asserts that Count I fails to state a claim because it does not allege a practice that is occurring on a "normal, customary, and continuous basis." MTD at 14. SEA alleges that COSCO engaged in multiple unjust and unreasonable practices and procedures in violation of Section 41102(c) at paragraph 80 of the complaint. Complaint at 20-21, ¶ 80 (a-m).

Section 41102(c) states that a "common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c).

The elements that must be established to prove a Section 41102(c) claim were specified by the Commission on December 17, 2018, as follows:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018); 46 C.F.R. § 545.4. Here, COSCO asserts that SEA has not alleged a “practice” because it fails to allege conduct that has been uniformly applied to multiple shippers, and because it fails to “link any of those [23,000] shipments/charges to any specific practice.” MTD at 19.

COSCO’s arguments regarding element (b) are the same as those made by Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL”) in *Samsung Electronics America, Inc. v. OOCL* in Docket No. 24-17. In his Order partially granting OOCL’s motion to dismiss, Administrative Law Judge Alex Chintella discussed the holdings in the multiple cases cited by OOCL (and here, by COSCO), and found that “[t]he requirement described in these cases is to plead sufficient facts to show a pattern of behavior, rather than an isolated error, occasional transaction, or one-shot occurrence. By pleading that the alleged practices occurred over several years and with respect to thousands of shipments, SEA has met that burden.” *Samsung Electronics America, Inc. v. OOCL*, Docket No. 24-17, 2024 WL 4893409, at *5 (ALJ Order Partially Granting Motion to Dismiss, Nov. 18, 2024), admin. final Dec. 19, 2024. Moreover, Judge Chintella found that none of the cases cited by the Commission in its notice of proposed rulemaking for the interpretative rule require a complainant “in a case involving thousands of shipments, to explicitly link each allegedly unreasonable practice to each shipment to plead a “practice” for purposes of 46 U.S.C. § 41102(c).” *Id.* (describing and distinguishing the holdings in *Intercoastal Investigation*, 1935, 1 U.S.M.C. 400, 432 (1935); *Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419-420 (Oct. 18, 1962); *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605, 618 (FMC June 30, 1964); *European Trade Specialists v. Prudential-Grace Lines*, 17 S.R.R. 1351, 1364 (ALJ Nov. 1, 1977) (*aff’d* *European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59, 63 (FMC 1979)); *A.N. Deringer, Inc. v. Marline Marine Services, Inc.*, Docket No. 1652(I), 25 S.R.R. 1273, 1276, 1990 WL 427469 at *4 (SO Nov. 14, 1990); and *Kamara v. Honesty Shipping Service*, Docket No. 1841(I), 29 S.R.R. 321, 322 n.8, 2001 WL 898739 at *2n.8 (SO July 26, 2001)). Judge Chintella’s reasoning is equally applicable here, where SEA similarly alleges unjust or unreasonable practices regarding 22,000 detention, demurrage, and other charges occurring over a period of several years without linking each unreasonable practice to each charge. Complaint at 20, ¶ 80

Like OOCL, COSCO also argues that SEA must allege (and has failed to do so here), that each alleged unreasonable practice is or was applied to other shippers, in order to establish that it is a “practice.” SEA does allege that these practices were applied to other shippers, despite the absence of a pleading requirement to do so. Complaint at 9-10, ¶¶ 28-33. The cases cited by COSCO do not hold that a complaint must allege unreasonable practice(s) were applied to multiple other shippers to be considered “normal, customary, and [occurring on a] continuous basis.” 46 U.S.C. § 41102(c); 46 C.F.R. § 545.4. Rather, the cases on which Respondent relies find that one to six shipments, actions, or omissions are not sufficient to establish a pattern or practice:

Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice. An “occasional transaction” or isolated act is not a “practice.” Two or three incidents over a short time period are not enough to show that the conduct in question is an entity’s normal and customary practice. Even six instances of “unreasonable conduct” carried out over a period of several months involving the same entities have been ruled insufficient to prove that conduct was “uniform or continuous.”

Crocus Investments, LLC v. Marine Transport Logistics, Inc., Docket No. 15-04, 2021 WL 3732849 at *8 (FMC Aug. 18, 2021) (internal citations omitted).

In *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, Docket No. 17-02, 2 F.M.C. 2d 168, 2020 WL 5406762 (FMC Sept. 1, 2020), in which the Commission affirmed the remanded initial decision of the administrative law judge, 3 shipments over a two-month period were released by respondent to the same consignee without an original bill of lading, and once alerted to the issue, respondent did not continue to release shipments. *Id.* at 172. No evidence was provided to show that this type of conduct had occurred other than in those three instances, or that respondent released shipments without an original bill of lading to other consignees on other occasions. *Id.* at 174. This fact pattern and the holdings do not amount to a complaint requirement that multiple shippers must be alleged as victims of the same alleged unreasonable practices.

Similarly, *Stockton Elevators*, held that an “occasional transaction” was not sufficient to establish a practice, where six instances of reduction in wharfage or allowances were made to a single grain trading company. *Investigation of Certain Practices of Stockton Elevators*, F.M.C. No. 1072, 3 S.R.R. 605, 614, 618 (FMC June 30, 1964). Moreover, *Stockton Elevators* was initiated by the FMC as an investigation, and it provides no holding or dicta regarding what must be alleged in a complaint regarding the number of affected shipments or shippers to make out a claim of an unreasonable practice.

One Commissioner, discussing the meaning of a “practice” in a lengthy dissent, noted that “in *Whitam v. Chicago R.I. & P. Ry. Co.*, 66 F. Supp. 1014 (N.D. Tex. 1946), a federal trial court considered the term ‘practice’ as used in the ICA and held that, ‘[the] word a “practice” as used in the decision, or used anywhere properly, implies systematic doing of the act complained of....’” *Muzorori v. Canada State Africa Lines, Inc.*, 2016 WL 3922397, *15 (FMC July 14, 2016), citing *Whitam v. Chicago R.I. & P. Ry. Co.*, supra at 1017. The dissent in *Muzorori* did not include the rest of the sentence from the *Whitam* court’s opinion after “systematic doing,” but

even when considering it—“...and usually as applied to carriers and shippers generally”—it still does not amount to a requirement that a complainant in an FMC case must plead multiple shippers were affected by the alleged unreasonable practice(s). *Whitam*, supra. As Judge Chintella observed regarding *Whitam*, “[t]hat the court opined, in the context of the counterfactual it was considering, that a “practice” implies an act “usually” (not necessarily always) applied to “shippers generally,” does not establish a pleading requirement for Shipping Act cases.” *Samsung Electronics America, Inc. v. OOCL*, supra at *6.

Far from an “isolated act,” “single shipment,” or “occasional transaction” as addressed in the cases cited by COSCO, SEA has alleged that over several years, it “paid over 22,000 demurrage, detention, and associated charges” because of COSCO’s unjust and unreasonable practices, and those charges “continue to be tabulated and accrued as of the filing of this Complaint.” *Crocus Investments*, supra, at *8; Complaint at 12, ¶¶ 38-40, 19, ¶¶ 77-80. SEA alleges that COSCO assessed unjust and unreasonable D&D charges by “shifting responsibility for its inland transportation failures to Complainant” when SEA had no control over the movement of the containers, and COSCO continued to book SEA’s containers without first addressing delays and increasing intermodal costs, among other acts and omissions. Opposition at 11; Complaint at 19-21, ¶¶ 73-80. Accepting the facts pleaded as true, SEA has plausibly alleged a normal, customary, and continuing practice.

B. Count II Violations of 46 U.S.C. § 41104(a)(3) – 46 U.S.C. § 41102(d) - Retaliation

Count II alleges that “COSCO threatened to retaliate, and in fact did retaliate, against Complainant and SEA Containers with respect to delivery of cargo and refusing available cargo space accommodation.” Complaint at 23, ¶ 87. COSCO contends that Count II fails to state a claim because SEA is not a “shipper” and does not allege that it engaged in protected activity. MTD at 19. SEA counters that it is a “protected entity (the consignee to whom delivery was made)” that engaged in “protected activity (SEA’s Notice of Demand for Action letter and other efforts to address COSCO’s shipping and charging practices, resolve disputes, and dispute invoices).” Opposition at 15. It is not clear to what “other efforts to address COSCO’s shipping and charging practices, resolve disputes, and dispute invoices” SEA refers, and it is the Demand Letter that SEA argues in its opposition brief triggered the retaliation. Opposition at 15. SEA describes the Notice of Demand Letter in the Complaint:

On September 23, 2022, SEA sent a Notice of Demand for Action letter (“Demand letter”) to COSCO regarding unreasonable and unlawful charges for demurrage, detention, handling, and/or storage, and other unreasonable and unlawful conduct. The Demand Letter invited COSCO to respond in a substantive manner, and asked that COSCO indicate its interest in discussing cooperative resolution.

Complaint at 16, ¶ 60.

Based on the complaint’s allegations, OSRA 2022 Section 41102(d) applies. However, for the sake of completeness, both the pre- and post-OSRA retaliation provisions are provided:

Section 41104(a)(3), prior to OSRA 2022, stated:

(a) In general.-- A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not--...

(3) retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodation when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason; ...

46 U.S.C. § 41104(a)(3).

OSRA 2022 amended Section 41104(a) by striking “may not” and replacing it with “shall not” in part (a), and by striking paragraph (3) and inserting: “(3) unreasonably refuse cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods[.]” 136 Stat. 1274 Public Law 117-146, June 16, 2022.

OSRA 2022 amended Section 41102(d) by adding a retaliation provision to the end of that section:

(d) RETALIATION AND OTHER DISCRIMINATORY ACTIONS.—A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not—

(1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or

(2) resort to any other unfair or unjustly discriminatory action for—

(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has—

(i) patronized another carrier; or

(ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or

(B) any other reason.

Id.

SEA identifies itself as the consignee of the cargo at issue, and COSCO acknowledges that designation in the bills of lading. Complaint at 12, ¶ 41; MTD at 20. In its *Statement of the Commission on Retaliation*, the Commission stated:

Unless amended by Congress, § 41104(a)(3) applies only to prohibited conduct directed at a “shipper.” But this term protects other than just the cargo owner. The term “shipper” means a cargo owner, the person for whose account the ocean transportation of cargo is provided, the person for who delivery is to be made, a

shippers' association, or a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

Statement of the Commission on Retaliation, Docket No. 21-15, 3 F.M.C.2d 201, 2017, 2021 WL 9294128 at *4 (FMC Dec. 28, 2021). Accordingly, SEA is a shipper under the Commission's definition.

COSCO next asserts that SEA did not bring any matter to the attention of the FMC, and thus, did not engage in protected activity. MTD at 20; Reply at 7 ("That SEA ultimately filed a complaint is irrelevant. Any acts alleged in the Complaint occurred *before* the Complaint was filed, so such acts cannot possibly be retaliation for the Complaint.") (emphasis in original). COSCO relies on *20230930-DK-Butterfly-1*, where the undersigned granted respondent's partial motion to dismiss. *20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Co. SA*, Docket No. 23-12, 2024 WL 1299768 (ALJ Mar. 25, 2024). In that case, complainant argued that bringing complaints about insufficient space allocation to the attention of the carrier is protected activity within the meaning of "or for any other reason." *Id.* at *5. At the time the *20230930-DK-Butterfly-1* order issued, *OJ Commerce*, relied on by SEA and discussed below, was pending before the Commission. That case found that a threat to file a complaint with the Commission is protected activity because it is closely related to other conduct specified by the Commission as "or for any other reason." COSCO asserts that a claim for retaliation "must include allegations that complainant brought its complaints to the attention of the FMC or at the very least threatened to do so." MTD at 21. In *20230930-DK-Butterfly-1*, the undersigned found that "[e]ven if a threat to file a complaint with the Commission constitutes 'any other reason,' the complaint *sub judice* does not plead facts that demonstrate that [complainant] threatened to file a complaint, or engage in any way, with the Commission." *Supra* at *5.

In response to the motion to dismiss, SEA asserts that it alleges all the necessary elements of a retaliation claim in violation of 46 U.S.C. § 41104(a)(3) and 46 U.S.C. § 41102(d):

Respondent engaged in prohibited conduct (refusing available cargo space accommodations and delivery of cargo), with respect to a protected entity (the consignee to whom delivery is made), because the protected entity engaged in protected activity (SEA's Notice of Demand for Action letter and other efforts to address COSCO's shipping and charging practices, resolve disputes, and dispute invoices). The Complaint at ¶¶ 55-56 and 60 sets out the predicate background of Respondent's unlawful actions; the Complaint at ¶¶ 56 and 60 details Complainant's demand for resolution, which threatened a complaint to the Commission, and resulted in the retaliation of Respondent.

Opposition at 15. Complaint ¶¶ 56 and 60 respectively state:

56. COSCO has in fact refused release of SEA Containers moving under store door terms on the basis of allegedly outstanding demurrage and detention charges arising from the foregoing COSCO practices.

...

60. On September 23, 2022, SEA sent a Notice of Demand for Action letter (“Demand Letter”) to COSCO regarding unreasonable and unlawful changes for demurrage, detention, handling, and/or storage, and other unreasonable and unlawful conduct. The Demand Letter invited COSCO to respond in a substantive manner, and asked that COSCO indicate its interest in discussing cooperative resolution.

Complaint at 15-16.

SEA states that further development of the case “will establish that Complainant noted to Respondent that its actions were in violation of the Shipping Act and that continued misconduct would lead to a complaint with the Commission, which in fact occurred.” Opposition at 15.

In the *Statement of the Commission on Retaliation*, the Commission discussed the meaning of the phrase “for any other reason” to clarify the retaliation provision:

The Commission interprets ‘any other reason’ to mean that protected activity under § 41104(a)(3) includes other ways that shippers may bring allegations of unlawful activity to the Commission, such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CDRS’ [sic] dispute resolution procedures. This interpretation is consistent with congressional intent as set forth in the Alexander Report and with the important role shippers serve in assisting the Commission with its mission.

Statement of the Commission on Retaliation, supra at *5.

The Commission recently affirmed an administrative law judge’s interpretation of the above guidance, finding that a complainant engaged in protected activity by threatening in a demand letter to file a “petition” with the Commission to “seek relief.” *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. Kg and Hamburg Sud North America, Inc.*, Docket No. 21-11, 2024 WL 4034610 (FMC Aug. 27, 2024) at *16-18. There, complainant’s attorney emailed a demand letter to respondents that included the threat that “[f]ailure to cure the breach by May 3, 2021, may result in legal action against you and your affiliates, as well as the filing of a petition to the Federal Maritime Commission to seek relief.” *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. Kg and Hamburg Sud North America, Inc.*, Docket No. 21-11, 2023 WL 3969857 (ALJ June 7, 2023), at *9-10. Chief Administrative Law Judge Erin Wirth found that:

The statutory language, by including the phrase “or for any other reason” explicitly applies this section beyond cases where the shipper has patronized another carrier or has filed a complaint. The extent of that expansion is not unlimited, however, and the closeness of the alleged misconduct to the other items listed is relevant. Here, the action alleged to constitute an “other reason” is the threat to file a complaint with the Commission. This conduct is closely related to the listed violations without being one of the listed violations. It is reasonable to anticipate that threats of prohibited conduct would be encompassed under the “for any other reason” language, and so finding is consistent with the Commissions’

[sic] Policy Statement regarding interpreting the anti-retaliation provision broadly.

Id. at 29.

Here, SEA does not allege that it threatened to bring the D&D matter to the attention of the Commission by charge complaint, small claim proceeding, formal complaint, or by any of the other ways listed in the guidance. Complaint at 16, ¶ 60. Taking the facts pleaded as true, SEA demanded in writing that COSCO “respond in a substantive manner” to what SEA alleged to be “unreasonable and unlawful conduct” and “indicate its interest in discussing cooperative resolution.” *Id.* This conduct by SEA (the Demand Letter) is not “closely related to the listed violations without being one of the listed violations.” *OJ Commerce*, *supra* at *29. While SEA argues in its opposition that development of the case will demonstrate that such a threat occurred, it did not allege it in the complaint. Moreover, COSCO’s assertion in the motion to dismiss regarding SEA’s alleged demands “to settle SEA’s purported claims and avoid this litigation” does not amount to an acknowledgement that SEA threatened to file a complaint with the Commission and thereafter suffered retaliation. MTD at 22; Opposition at 15-16. SEA alleges that the parties met in late October 2022, late September and late October 2023, and engaged in telephone calls in 2024, where the parties allegedly discussed the D&D charges, issues with invoices, damages claim, container numbers and bills of lading numbers, and what SEA considered unreasonable charges. Complaint at 16-19. None of these paragraphs allege that SEA threatened to bring these claims to the attention of the Commission, or that COSCO retaliated against SEA because of such a threat. Accordingly, Count II is dismissed as it does not plausibly state a claim of retaliation.

Count III Violations of 46 U.S.C. § 41104(a)(10) – Refusal to Deal

COSCO asserts that Count III fails to state a claim upon which relief can be granted, namely, that its refusal to accept a settlement demand does not constitute a refusal to deal. MTD at 22. SEA contends that the meaning of what constitutes an “unreasonable refusal to deal or negotiate” is still not fully defined by the Commission. Opposition at 16. SEA alleges that COSCO violated Section 41104(a)(10) both before and after OSRA 2022, by refusing “to meaningfully engage or change its underlying practices,” and such conduct amounts to an unreasonable refusal to deal or negotiate, including with respect to vessel accommodations. *Id.* at 23-24. In reference to the relevant portions of the Complaint, SEA generally points to Section V, paragraph 41 through paragraph 72. *Id.* at 18-19.

Effective September 23, 2024, the Commission codified the elements necessary to prove a violation of 46 U.S.C. § 41104(a)(10). *Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Provided by an Ocean Common Carrier*, 89 F.R. 59648 (Final Rule July 23, 2024). Section 542.1 now provides, in part:

(f) Elements for claims. The following elements are necessary to establish a successful private party or enforcement claim under 46 U.S.C. 41104(a)(10) with respect to refusals of vessel space accommodations provided by an ocean common carrier:

(1) The respondent must be an ocean common carrier as defined in 46 U.S.C. 40102;

(2) The respondent refuses or refused to deal or negotiate with respect to vessel space accommodations; and

(3) The ocean common carrier's conduct is unreasonable.

(g) Non-binding considerations when evaluating unreasonable conduct. In evaluating the reasonableness of an ocean common carrier's refusal to deal or negotiate with respect to vessel space accommodations, the Commission may consider the following factors:

(1) Whether the ocean common carrier followed a documented export policy that enables the timely and efficient movement of export cargo;

(2) Whether the ocean common carrier engage in good faith negotiations;

(3) Whether the refusal was based on legitimate transportation factors; and

(4) Any other relevant factors or conduct.

(h) Non-binding examples of unreasonable conduct. The following are examples of the kinds of conduct that may be considered unreasonable under 46 U.S.C. 41104(a)(10) when linked to a refusal to deal or negotiate:

(1) Quoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations; or

(2) The de facto, absolute, or systematic exclusion of exports in providing vessel space accommodations.

46 C.F.R § 542.1(f)-(h).

Several of the definitions provided in Section 542.1(b) are instructive regarding the parties' positions in the instant case:

Unreasonable means ocean common carrier conduct that unduly restricts the ability of shippers to meaningfully access ocean carriage services from that ocean common carrier.

Vessel space accommodations means space available aboard a vessel of an ocean common carrier for laden containers being imported to or exported from the United States. Vessel space accommodations also includes the services necessary to book or access vessel space accommodations.

46 C.F.R § 542.1(b).

SEA asserts that it has plausibly alleged all three elements, including 2 and 3, citing to Complaint ¶¶ 87, 92, and 93. Opposition at 17. While paragraph 87 alleges that COSCO retaliated against SEA “with respect to delivery of cargo and refusing available cargo space accommodation,” nowhere does SEA allege any facts regarding negotiations pertaining to available space aboard COSCO’s vessels. Paragraphs 92 and 93 allege SEA’s “efforts (a) to address COSCO’s shipping and charging practices *with respect to inland services under through bills of lading and demurrage and detention charges and practices*, (b) *to resolve disputes*, and (c) *dispute invoices*.” *Id.* at 24 (emphasis added). None of these allegations describe issues raised by SEA regarding vessel space accommodations, negotiations regarding vessel space accommodations, or unreasonable conduct by COSCO similar to that described in 542.1(h). In this regard, SEA has not alleged that it was denied service to book or access vessel space accommodations, or that it engaged or attempted to engage in negotiations with respect to vessel space accommodations. Rather, SEA alleges that it negotiated with COSCO regarding “shipping and charging practices with respect to inland services,” D&D charges and practices, disputed invoices, and ways to resolve disputes, and did so over a period of a year and a half in an effort to settle those charge disputes. Complaint at 16-19, 24. Accordingly, SEA does not allege facts to support a claim that COSCO unreasonably refused to deal or negotiate regarding vessel space accommodations and Count III is dismissed.

C. Count IV Violations of 46 U.S.C. § 41104(a)(15) – OSRA -Non-compliant Invoices

COSCO moves to dismiss Count IV of the complaint, which alleges that COSCO issued noncompliant invoices in violation of Section 41104(a)(15), as amended by OSRA. COSCO argues that only invoices sent on or after the effective date of OSRA 2022 would apply, and “even if COSCO did send non-compliant invoices (which COSCO disputes), the only remedy available to SEA would be for COSCO to issue new, compliant invoices.” MTD at 25. It adds that if an invoice is determined to be insufficient, it will issue a new one, but not until SEA “identifies the specific invoices that it asserts are deficient and details how they are noncompliant.” *Id.* at 26. SEA responds that COSCO essentially admits that it did not supply compliant invoices, it has not reissued defective invoices, and “SEA is not legally obligated to pay them.” Opposition at 19.

The relevant parts of 46 U.S.C. § 41104 to this claim provides as follows:

(a) In general.—A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not—

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with—

(A) all provision of part 545 of title 46, Code of Federal Regulations (or successor regulations); and

(B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled “Interpretive

Rule on Demurrage and Detention Under the Shipping Act” (or successor rule); or

(d) Detention and demurrage invoice information.—

(1) Inaccurate invoice.—If the Commission determines, after an investigation in response to a submission under 41310, that an invoice under subsection (a)(15) was inaccurate or false, penalties or refunds under section 41107 shall be applied.

(2) Contents of invoice.—An invoice under subsection (a)(15), unless otherwise determined by subsequent Commission rulemaking, shall include accurate information on each of the following, as well as minimum information as determined by the Commission:

(A) Date that container is made available.

(B) The port of discharge.

(C) The container number or numbers.

(D) For exported shipments, the earliest return date.

(E) The allowed free time in days.

(F) The start date of free time.

(G) The end date of free time.

(H) The applicable detention or demurrage rule on which the daily rate is based.

(I) The applicable rate or rates per the applicable rule.

(J) The total amount due.

(K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.

(L) A statement that the charges are consistent with any of the Federal Maritime Commission rules with respect to detention and demurrage.

(M) A statement that the common carrier’s performance did not cause or contribute to the underlying invoiced charges. . . .

(f) Elimination of charge obligation.—Failure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.

46 U.S.C. § 41104.

The complaint alleges that “on numerous occasions . . . COSCO, sought to invoice and/or charge for demurrage and detention on and **after the effective date of OSRA**” without including all the subsection (d) invoice information. Complaint at 24-25 (emphasis added). This states a plausible claim that at least some of the invoices that allegedly did not contain the required information were issued on or after the effective date of OSRA. Moreover, whether COSCO will issue compliant invoices in the future is irrelevant to the sufficiency of the pleading of the claim. COSCO’s further assertion that Count IV should be dismissed to the extent that it seeks reparations is baffling, as the complaint does not state that SEA seeks reparations for this claim. MTD at 25; Complaint at 24-25. Accordingly, there is nothing to dismiss, and Count IV remains as it states a plausible claim under 46 U.S.C. § 41104(a)(15).

D. Count V Violations of 46 U.S.C. § 41104(a)(14) – OSRA Unreasonable Charges

COSCO argues that Count V should be dismissed for failure to state a claim for assessments made before June 16, 2022, the effective date of OSRA and of Section 41104(a)(14), and that “[a]bsent a statement that particular charges were ‘assessed’ to SEA after June 16, 2022, the Complaint fails to state a claim, and fails to include sufficient specificity....” MTD at 26. SEA counters that it has alleged that charges were assessed post-OSRA and that Commission Rule 251 “allow[s] adjudication of the categories of alleged violations and then, once liability is established, [to] address the individual charges.” Opposition at 20; Complaint ¶¶ 49-59, 60, 72.

Section 41104(a)(14) provides that “(a) In General.—A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not--...(14) assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations)....” 46 U.S.C. 41104(a)(14). While SEA alleges conduct that began in 2020, it also alleges that “improper charges for demurrage and detention” continue to accrue. Complaint at 19, ¶ 72. Moreover, SEA alleges that “assessment of demurrage and detention charges in Q2 and Q3 2022 (after the effective date of OSRA) under through bills of lading would also violate 46 U.S.C. § 41104(a)(14).” Complaint at 25, ¶ 101. SEA will have to provide evidence showing which of the 22,000 detention and demurrage charges were inconsistent or did not comply with applicable provisions and regulations and were assessed after June 16, 2022, in order to prove a violation under Section 41104(a)(14), but that level of specificity is not required at this time. At the complaint stage, the allegations are sufficient to establish a plausible claim, and the motion to dismiss Count V is denied.

E. Count VI Violations of 46 U.S.C. § 41102(c) – Unjust and Unreasonable Dispute Resolution Practices

COSCO asserts that Count VI should be dismissed for failure to state a claim because SEA fails to allege a practice, Section 41102(c) does not apply to dispute resolution practices, and SEA failed to follow COSCO’s published procedure for disputing D&D invoices, instead engaging in settlement discussions that it labels a practice. MTD at 27-28. COSCO further contends that SEA’s “unsuccessful settlement discussions [should not] serve as a basis for a claim of Shipping Act violation” as it is contrary to the *Noerr-Pennington* doctrine and the

Commission’s “policy of encouraging settlement.” *Id.* at 28. SEA counters that COSCO’s reference to and reliance on a published dispute resolution procedure is outside the complaint, the Commission’s guidance on interpreting 46 U.S.C. § 41102(c) states that dispute resolution policies, practices, and regulations may be considered in the reasonableness analysis, the *Noerr-Pennington* doctrine is inapplicable, and the complaint alleges that COSCO’s D&D dispute resolution practices violate the Shipping Act. Opposition at 20-22; Complaint ¶¶ 54-57, 105.

Whether COSCO has a published D&D dispute resolution procedure and how it functions are factual matters that are not a basis for dismissal of the complaint. Moreover, characterizing SEA’s D&D dispute resolution efforts and complaint allegations as settlement negotiations to invoke the *Noerr-Pennington* doctrine is not supported by either the cases to which it cites, or the complaint allegations. *See Samsung Electronics America, Inc. v. OOCL*, Docket No. 24-17, 2024 WL 4893409, at *15-16 (ALJ Order Partially Granting Motion to Dismiss, Nov. 18, 2024).

Here, the complaint alleges that SEA “[f]aced with dramatically increasing charges for detention and demurrage” asked for information about the charges, requested cancellation or waiver of the charges, and COSCO “failed to meaningfully engage in commitments to address disputed charges, and failed to provide any workable practice, policy, or procedure to...evaluate disputed charges.” Opposition at 22; Complaint ¶¶ 54-56, 57, 67. The existence and implementation of dispute resolution practices and procedures may be considered by the Commission in determining reasonableness:

(d) Demurrage and detention policies. The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.

46 C.F.R. § 545.5(d). Based on the allegations in the complaint, SEA has alleged a plausible claim under Section 41102(c), although as observed by Judge Chintella in *Samsung Electronics America, Inc. v. OOCL*, better organization of the complaint would have included these allegations as a subpart of Count I. *Id.* at *14.

F. Reparations Claim

COSCO moves to dismiss SEA’s claim for reparations because it fails to specify an amount, which COSCO argues is a procedural defect under Commission Rule 62. COSCO states that if SEA is allowed to amend its complaint to reflect an amount of damages, it “reserves until then its argument that the Complaint improperly fails to allege reparations on a shipment-by-shipment basis....” MTD at 29. SEA responds that “Respondent’s Rule 62 argument is really about its allegation that the Complaint ‘improperly fails to allege reparations on a shipment-by-shipment basis.’” Opposition at 23 (citing to MTD at 29). SEA also states that “[t]he current Rule 62 does not require identifying specific shipments and damages to the level of detail that Respondent seeks.” *Id.* Finally, SEA contends that Rule 251 allows it to effectively bifurcate the

proceeding into one on the merits and one on damages, so it is not necessary to plead an amount of damages in the merit portion of the proceeding.

Rule 62(a) states that “**Complaints should be drafted in accordance with the rules in this section.**” 46 C.F.R. § 502.62(a) (emphasis added). Rule 62 further sets forth the complaint requirements and statute of limitations when reparations are sought:

(4) *Complaints seeking reparation; statute of limitations.* A complaint may seek reparation (money damages) for injury caused by violation of the Shipping Act of 1984. (See subpart O of this part.)

- (i) Where reparation is sought, **the complaint must set forth the injury caused by the alleged violation and the amount of alleged damages.**
- (ii) Except under unusual circumstances and for good cause shown, reparation will not be awarded upon a complaint in which it is not specifically requested, nor upon a new complaint by or for the same complainant which is based upon a finding in the original proceeding.
- (iii) A complaint seeking reparation must be filed with three years after the claim accrues. Notification to the Commission that a complaint may or will be filed for the recovery of reparation will not constitute a filing within the applicable statute of limitations.

46 C.F.R. § 502.62(a)(4) (emphasis added).

Rule 62 does not require that a complaint allege reparations on a shipment-by-shipment basis, but it does require that complaints allege “the amount of alleged damages.” Moreover, the Commission’s decision in *TCW, Inc. v. Evergreen*, cited² by COSCO as supporting a requirement that SEA must allege shipment-by-shipment damages in an amended complaint, was vacated by the D.C. Circuit Court and remanded to the Commission, then decided on remand by the Commission in February 2025, and does not add a such requirement. *TCW, Inc. v. Evergreen*, Docket No. 1966(I) 2022 WL 18068977 (FMC Dec. 29, 2022), *vacated and remanded by* 106 F.4th 1113 (D.C.C. July 5, 2024), *order on remand*, 2025 WL 516256 (FMC Feb. 13, 2025).

SEA must amend its complaint to allege the amount of damages it is owed. Further, Rule 251 does not guarantee a separate hearing on damages, and SEA should be prepared to move forward on both the merits and alleged damages. COSCO is cautioned that repetitious motions will be rejected pursuant to Rule 69(d). 46 C.F.R. § 502.69(d).

² COSCO did not include a pincite in its citation, and COSCO also does not explain how the cited case is relevant to alleging “reparations on a shipment-by-shipment basis....” MTD at 29.

G. Moving Forward

The parties should discuss handling this proceeding expeditiously, including by stipulating to facts that are not in contention. The parties are instructed to familiarize themselves with the Initial Order and the Commission's rules prior to filing motions and for briefing. In particular, the section of the Initial Order that sets forth how to introduce and mark confidential material must be reviewed and applied. Discovery issues, if any, should be brought to the attention of the undersigned by emailing a request for a status conference to judges@fmc.gov, prior to filing discovery motions.

IV. Order

Upon consideration of the record, the arguments of the parties, and the findings and conclusions set forth above, it is hereby

ORDERED that Respondent's Motion to Dismiss is **GRANTED IN PART** and **DENIED IN PART**; it is

FURTHER ORDERED that Counts II and III of Complainant SEA's complaint are **DISMISSED**; it is

FURTHER ORDERED that Complainant SEA file an amended complaint, no later than April 25, 2025, specifying the amount of damages it seeks; it is

FURTHER ORDERED that Respondent file its answer to the amended complaint no later than 10 days following service of the amended complaint; it is

FURTHER ORDERED that Complainant SEA shall serve the amended complaint on Respondent COSCO pursuant to 46 C.F.R. § 502.66(b); it is

FURTHER ORDERED that the parties file a joint status report ("JSR") no later than 15 days after the answer is filed, indicating whether they have addressed the requirements of the Initial Order, including whether they have each met with or scheduled a meeting with CADRS, and proposing a discovery schedule.



Linda S. Harris Crovella
Administrative Law Judge